

U.S. SMID-Cap Software and Cybersecurity

Cybersecurity Mid-'26 CISO survey: AI-driven demand continues!



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This is the June '26 sample of our bi-annual CISO survey, with 100 US respondents.

Our Mid-2026 CISO survey showed expected cybersecurity spend outpacing IT growth more significantly than in our EOY '25 survey (which had only a slight tilt), with 43% expecting cyber budgets to grow faster vs. 20% with IT faster (rest equal). This seems consistent with the mid-year CIO survey findings with cyber being the top spend growth category ([here](#)). The strongest tailwinds are in Financials, Tech, and Services industries at ~6% YoY growth (although all industries expect >4% growth). More than half of CISOs raised their full-year spending expectations vs. earlier forecasts, implying stronger H2 spending as H1 remained largely in line with prior expectations.

The biggest budget winner seems to be software, but both staff and managed services were not far behind (hardware was positive, but mostly just in network security). Within software, identity, cloud sec, and endpoint remain the top investment priorities. Versus EOY '25, **SecOps, Identity, and Threat Intelligence saw the largest incremental spend tailwinds** (followed closely by Network Security, AppSec, and Internet/DDoS). On the other hand, despite its strong baseline, Endpoint Security saw the 2nd largest decrease in +1 year spend plans, and **the already least-growthy area of SSE saw the largest incremental weakness**. Other less growthy areas from EOY '25 (SIEM, Email Security, and Secure Browsers) also decreased further. Interestingly Network Security, DDoS, and Data Security saw the greatest divergence in spend plans, with both budget increases and cuts become more common vs. EOY '25.

Within vendors, hyperscalers broadly saw reputational improvement, while other vendors remained more stable. This placed most hyperscalers at or above the large cybersecurity peer average. More broadly, we saw **small upticks in the already most-loved Palo Alto and CrowdStrike**, reinforcing their leading reputations. Splunk was the only vendor whose reputation declined (coinciding with the weakness in SIEM spend).

On overall cyber strategy, the shift toward software, vendor-hosted SaaS, and vendor consolidation was clear (across both SSE/SASE and broader cyber). However, moving away from physical firewalls and other appliance-based security was more of a future expectation than a present reality for most respondents, with the greatest delta between current execution and future plans. The asterisk on hardware is physical network security both for branches and data center had the lowest expectation for displacement.

GenAI has a large strategy impact and demand urgency on cybersecurity spend. But this isn't about AI coding agents building solutions in-house and displacing vendor budgets. Not to mention cyber budget seems safe from broader AI-driven budget pressures from things like Tokenmaxxing. Perhaps surprisingly, Identity did not come up as a strong beneficiary of GenAI adoption (counter a narrative in the market). But we do note that Identity was reported as a leading space of investment, so this may reflect the priority already being high and GenAI not really turning it up even further. The biggest AI investment area is SecOps, although tempered by concerns around model hallucinations / accuracy. And post Mythos, perhaps it's not surprising that AppSec is expected to see significant disruption from AI coding agents.

BERNSTEIN TICKER TABLE

Ticker	Rating	20 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
NET (Cloudflare)	M	USD	272.42	136.00	19.8%	USD	0.92	1.33	1.73	294.6	205.5	157.4
CRWD (CrowdStrike)	M	USD	198.49	103.00	48.6%	USD	0.93	1.25	1.66	212.9	159.4	119.4
FTNT (Fortinet)	M	USD	160.36	92.00	33.9%	USD	2.76	3.37	3.93	58.1	47.6	40.8
OKTA (Okta)	O	USD	148.41	141.00	37.3%	USD	3.50	3.91	4.64	42.4	37.9	32.0
PANW (Palo Alto Networks)	O	USD	348.66	253.00	59.9%	USD	3.43	3.63	4.89	101.7	96.0	71.3
S (SentinelOne)	O	USD	19.46	19.00	(10.2)%	USD	0.20	0.36	0.59	97.1	53.6	32.8
ZS (Zscaler)	O	USD	149.82	224.00	(66.3)%	USD	3.28	4.21	5.42	45.7	35.6	27.7
SPX			7,443.28									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CRWD, OKTA, S base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

No impact to target prices or investment recommendations.

We refer to our recently published note ([here](#)) regarding company-specific expectations into H2. But relative to that perspective, we thought a few insights were incrementally notable from our CISO survey:

- **Zscaler vs. survey's SSE weakness:** We believe Secure Service Edge ("SSE") remains a strategic priority for enterprises moving to cloud-first SaaS vendors where they want global cyber consistency across those offerings and the benefits of zero-trust architectures. But spending growth expectations were the weakest of all cybersecurity categories we tested in this survey. This may reflect that in existing adopters, their organizations have already completed most of their deployments, and for non-adopters that they have other near term priorities due to GenAI adoption that put SSE rollout on the back burner. For existing customers, it seems to imply CISOs view SSE as a maturing market where functionality across leading vendors is converging, shifting purchasing decisions toward consolidation rather than incremental expansion. In a tighter spending environment, organizations are often optimizing existing SSE investments rather than adding new capabilities, which reduces the urgency of spend growth relative to other security categories.
- **CrowdStrike / SentinelOne vs. Endpoint downticking in investment:** We believe endpoint security continues to be mission-critical, and this downtick in growth could run counter to the narrative we heard from the leading vendors at their latest earnings. They made the case that endpoint demand was actually accelerating, on the back of GenAI generating a renewed urgency to modernize the remaining ~50% of enterprises that have yet to adopt EDR. The point being that desktop AI Agents need to be secured, and the endpoint cyber solutions are well positioned to be part of that. We wonder if this is a mixed signal, with non-adopters being strong net buyers, while existing adopters are already mature and not growing spend. (there are other priorities because they already have EDR / XDR in place). As a result, spending often centers on renewals, vendor consolidation, and platform optimization rather than large net-new deployments. CISOs are also directing a larger share of incremental security budgets toward emerging risks such as AI, identity, and data protection, reducing endpoint's relative growth profile despite its importance.
- **Okta vs. Identity conflicting messages.** The narrative is that identity is a critical investment for AI Agent adoption — how to manage user access rights when using AI as well as the rights of independent AI Agents operating without a human in the loop. The survey calls out Identity as one of the strongest areas of investment, and this makes sense because it sits at the center of modern attack vectors and is becoming even more critical with the rise of GenAI, agents, machine identities, and cloud-native environments. BUT! We also saw a more modest agreement when CISOs were asked if GenAI would increase Identity spend. We note two important nuances here 1) Identity was ALREADY a top growth area, so it may more indicate they are unclear what incremental they need to do vs. their existing plans (particularly when it is human-in-the-loop AI, it would probably use the current user's Identity infrastructure), 2) we actually did see a strong step up in expectation around AI driving Identity spend, and this could reflect the organizations that are first to deploy AI-powered applications and autonomous workflows — they are discovering the incremental Identity problems they need to invest in covering. Specifically they may be finding the number of human and non-human identities expands significantly, increasing demand for IAM, PAM, IGA, and machine identity solutions. Unlike endpoint or SSE, identity is still benefiting from both structural growth and

expanding use cases, making it one of the few security categories where CISOs continue to prioritize meaningful incremental spending.

DETAILS

Our mid-'26 survey showed CISOs' cyber budget outpacing IT budget growth at a greater pace, with H2 2026 implicitly even stronger.

Overall cyber spend +12 month outlook modestly improved vs. our EOY '25 survey with 39% of CISOs seeing H1'26 cyber spend higher than expected over the past few months. Looking to full year 2026, 62% saw cyber spend expectations grow, suggesting H2 could be even stronger. Only a very small minority, ~4%, expected cybersecurity spend growth lower relative to their earlier expectations. On a growth basis in 2026, the distribution of increase was pretty wide between low-single digits to 10%+, and for 43% of respondents that cyber growth rate is reported to be faster than IT growth (only 20% expected IT growth to outpace cyber growth).

Cybersecurity spend is expected to keep growing in '26, particularly in Software / SaaS — 70% of respondents

expected Software / SaaS growth over +12 months and almost none expected shrinking. While many categories of software are expected to see at least some increased investment, the areas of Identity, Endpoint, and Cloud Security are most broadly anticipated to increase (55-60% of respondents). On the other hand some topics more distant from "Securing AI" narrative use cases like SIEM and Secure Browser are least growthy (20-30% anticipating growth). The weakest was SSE pulling up the rear, with <20% anticipating growth — these vendors are trying to spin a story of AI security, but that may not be resonating well today. Many other categories were pretty similar with 40-50% of respondents anticipating at least modest growth expected. Human costs are also expected to increase, both in-sourced staff/compensation and outsource/managed services, but not at the level of software (and there was a meaningful ~10% who believed both would decrease, most of which thought it would decrease significantly — perhaps some of these CISOs are the early adopters of SecOps AI tools? On the other hand hardware/appliance based cybersecurity was expected to be flat (increasing slightly). Although if we double-click on hardware we do see network security equipment is the one area with at least some moderate spend increase expectations.

CISOs' threat priorities are pulling them in many directions. CISOs are continuing to prioritize software-based network security and vendor-hosted cloud-delivered cybersecurity tools. And incremental investment that is going on is mostly focused on enhancing existing vendors, perhaps reflecting the frustration with vendor sprawl.

Across cybersecurity vendors CrowdStrike and Palo Alto were seen distinctly most positive vs. all others, with hyperscalers AWS and Microsoft just a bit behind in the next most positive tier.

On the other hand, most others we asked about had a more similar slightly "Above average" reputation. There were a few interesting exceptions in cyber specific vendors, with Wiz and Arista coming in lowest. We also expanded to ask about the hyperscalers themselves, and perhaps not surprisingly Amazon AWS and Microsoft Security came in with the highest marks at levels just below the top pure play cybersecurity vendors. On the other hand, Oracle and Google Cloud were more controversial, with the largest number of below average scores.

CISOs widely perceive GenAI/LLMs as a driver for increased cybersecurity spending, motivated by the need to defend against sophisticated AI-enhanced attacks and the desire to automate security operations and incident response.

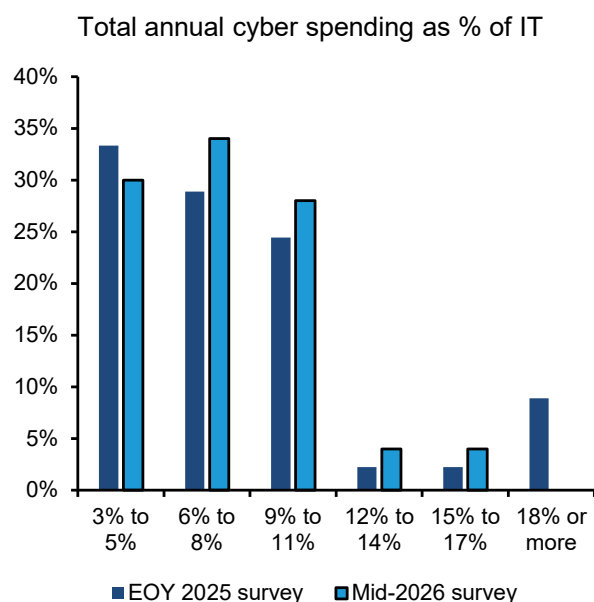
Most CISOs believe GenAI/LLM investments are net new budget and they are NOT replacing cyber budget. While many plan to increase budgets for AI agent-driven solutions, some express caution regarding model accuracy and false positives, leading them to favor established vendors over new startups for these enhancements. Concurrently, AI's impact on company budgets presents a dual dynamic: initial high investment costs for advanced defense mechanisms are expected to lead to significant long-term savings through faster threat detection and automated responses, enabling companies to shift to a more proactive cybersecurity posture.

CISO SURVEY SHOWS 2026 CYBERSECURITY SPEND AVERAGES ~8% OF IT, WITH VARIATION ACROSS INDUSTRIES

Our mid-2026 CISO survey (in-market June) includes 100 US respondents across different industries and Enterprise-size FY revenue sizes (Exhibit 17). **On average, CISOs expect cybersecurity spending to represent ~8% of total IT budgets in 2026** (Exhibit 1), which is consistent with our level based on our EOY 2025 survey (in-market Oct-Nov '25). Most respondents expect cyber spending to account for 3%-11% of IT spending, while only 8 CISOs expect it to exceed 12% — this was a slightly tighter range than our prior survey. The highest spenders came from financial, manufacturing, services, and utilities sectors, perhaps reflecting their "critical" infrastructure positioning (and in some cases lighter other IT spend as we see in Exhibit 3). However, each of these sectors also includes respondents reporting materially lower cybersecurity spending ratios, highlighting the wide dispersion of cybersecurity investment profiles within these industries. Within the 3%-11% range, respondents are distributed relatively evenly across the three spending brackets.

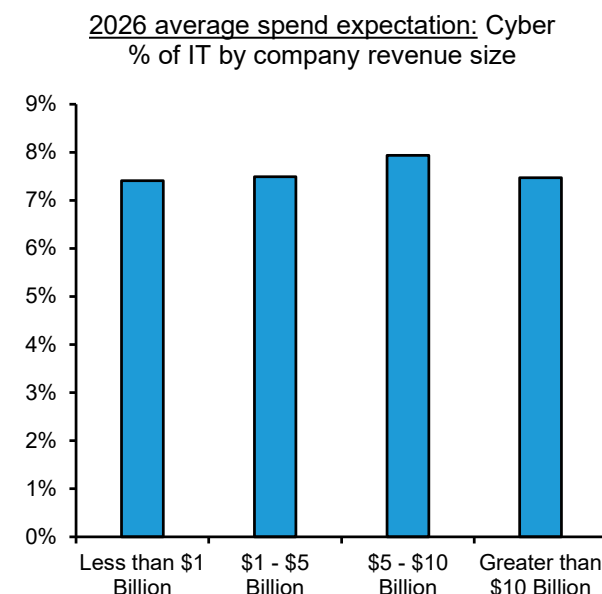
We do not observe meaningful variation in cyber spending as a percentage of IT spending across company size cohorts, with averages falling in the 7-8% range (Exhibit 2). This contrasts with our EOY 2025 survey, where the largest and smallest companies reported the highest cybersecurity spending levels (both above 8% of IT budgets), while mid-sized companies allocated only 6%-7%. The convergence observed in the Mid-2026 survey could reflect differences in the respondent sample, but it may also indicate growing recognition of cybersecurity as a strategic priority among companies with \$1 billion-\$10 billion in annual revenue.

EXHIBIT 1: Our mid-year 2026 survey shows a little less extreme variation in cybersecurity spend as a % of IT than the EOY 2025 survey did. The overall average remained about the same.



Source: Bernstein CISO Survey

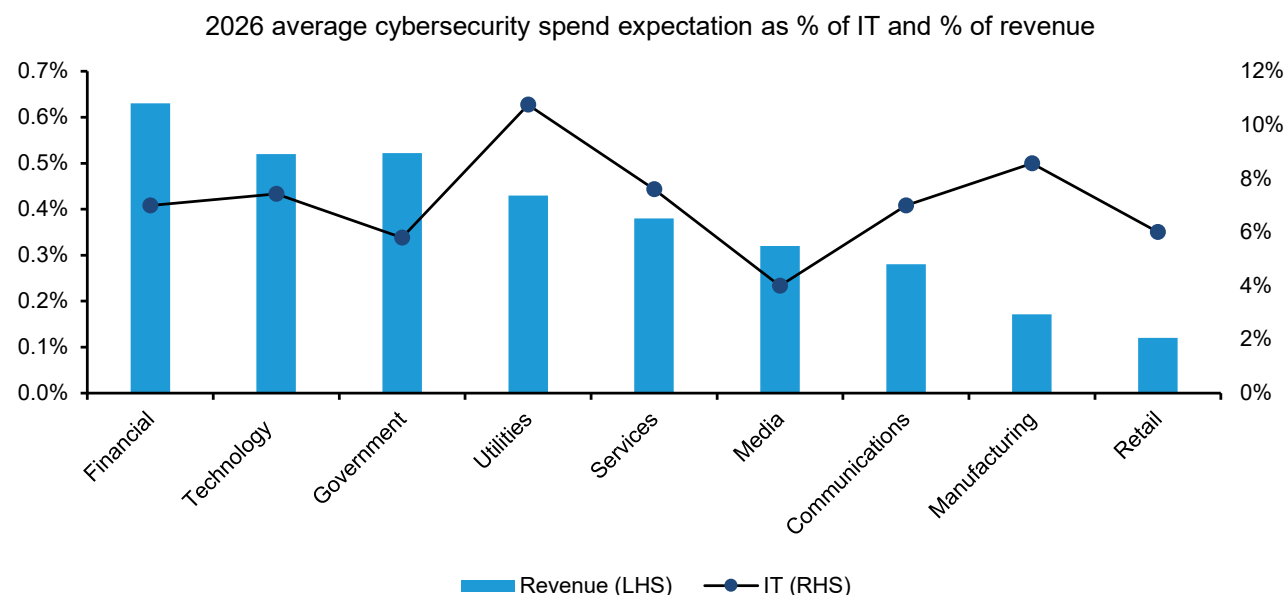
EXHIBIT 2: Companies with all revenue categories show 7-8% cyber spending as % of IT spending.



Source: Bernstein CISO Survey

Comparing across industries, Utilities and Manufacturing report the highest % allocation of IT budgets to cybersecurity (but IT is a smaller % of revenue), while Financial, Technology and Government spend the largest % of Revenue (Exhibit 3). This may reflect the regulatory emphasis on securing critical infrastructure in these top spenders as a % of IT and % of revenue. All these industries are often called out in those political discussions. In addition, technology providers themselves are expected to be the outsourced security for their customers, so it might seem logical they would spend more. Our EOY '25 survey also showed a similar result with Utilities, Technology, and Manufacturing being the leading industries with the highest IT budget allocation to cybersecurity. On the other hand, Retail and Media have been the ones with the lowest cyber budget in both surveys. These industries tend to under-index in their technical talent vs. other industries. They can include lower margin players, and may be faced with ongoing industry disruption pressures. Thus, they may not have the budget, strategic focus, or internal talent on IT. That said, the sample sizes for three industries are relatively small — Media, Communications and Utilities. Therefore, those industry findings should be interpreted with more caution and may not fully reflect broader industry spending trends.

EXHIBIT 3: As a % of revenue, Financial, Tech and Government are spending the most on cybersecurity. But in some industries with smaller IT spend, but real cyber risks, such as Utilities and Manufacturing, their cybersecurity budget as a % of IT spend is higher than all other industries.



Source: Bernstein CISO survey; Gartner and Bernstein analysis

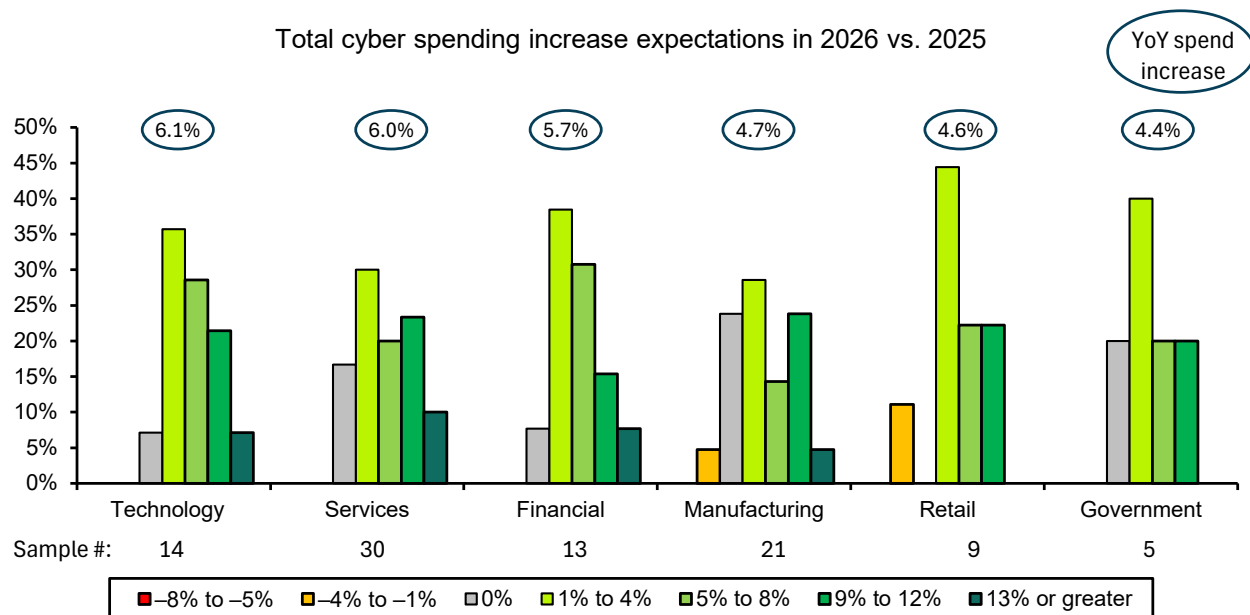
CYBERSECURITY SPENDING EXPECTED TO INCREASE BY 7% IN 2026 VS. 2025

On average, CISOs expect cybersecurity spending to increase by 7% in 2026 relative to 2025, which is consistent with the growth reported in our EOY 2025 survey vs. 2024. Notably, the vast majority of respondents do not anticipate a decline in cybersecurity budgets, underscoring the continued prioritization of cybersecurity investments despite a more uncertain macroeconomic backdrop and strong demand / corporate focus on GenAI adoption. Expectations vary by industry, however. Manufacturing, Retail, Utilities, and Communications (not shown below given small sample size of 1-4 companies) have pockets of respondents forecasting lower cybersecurity spending, while retail, technology, and financial services stand out as sectors where a majority of CISOs expect spending to increase (Exhibit 4).

43% of CISOs expect cybersecurity budgets to grow faster than overall IT budgets in 2026, up from ~30% in 2025

(Exhibit 6), while only 20% anticipate cybersecurity spending growth will lag broader IT spending. This marks a notable shift from our 2025 survey, when about half of respondents expected cybersecurity budgets to grow largely in line with overall IT budgets. The latest results suggest that cybersecurity is increasingly gaining share within IT budgets rather than simply tracking overall IT spending trends. Consistent with this view, CISOs have become incrementally more optimistic on cybersecurity spending prospects, both for the first half of 2026 and for full-year 2026 (Exhibit 6). Interestingly, there are more CISOs with incrementally positive expectations for the full year vs. the first half of 2026, appearing to signal further strength in cybersecurity budget for the second half of this year.

EXHIBIT 4: **CISOs expect cyber budgets to increase by ~7% this year (2026) compared to last year (2025).**

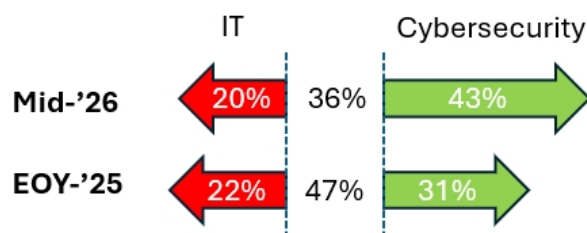


Media, Communications, and Utilities excluded from the chart due to small sample size
Source: Bernstein CISO Survey

EXHIBIT 5: **In mid-2026, a greater portion of CISOs anticipate cybersecurity outgrowing IT than they did even six months ago at our EOY 2025 survey.**

Which budget is growing faster?

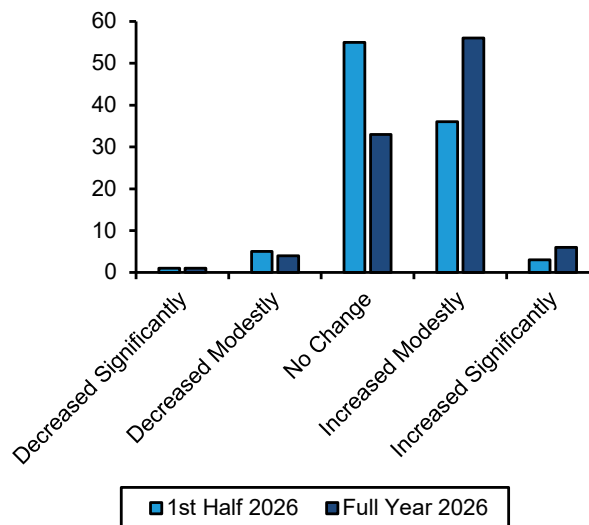
% of respondents



Source: Bernstein CISO survey

EXHIBIT 6: **Cyber spending outlook has become even more positive for Full Year 26 and H1'26 over the last few months.**

How the cybersecurity spending plans changed over the last few months (%)



Source: Bernstein CISO Survey

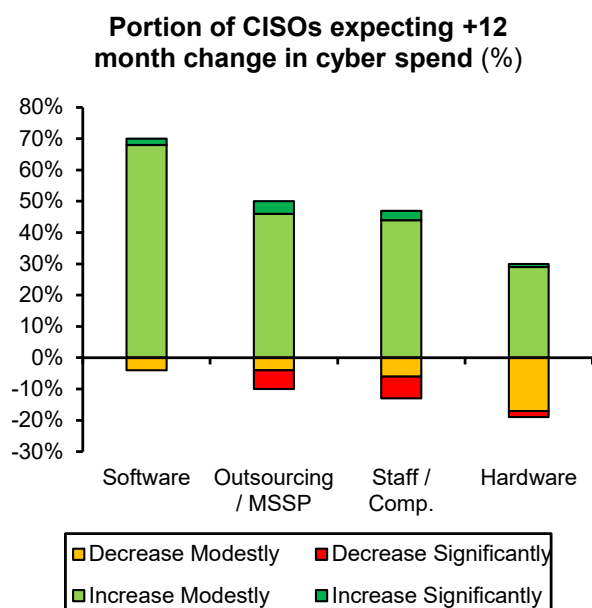
SOFTWARE AS THE TOP INVESTMENT AREA, WITH FOCUS ON IDENTITY AND SECOPS

Among cybersecurity spending categories, software remains the area where CISOs are most likely to increase investment over the next 12 months (Exhibit 7). Only 4% of respondents expect cybersecurity software spending to decline modestly, compared with 19% who anticipate reducing spending on cybersecurity hardware. This pattern is consistent with the

findings from our EOY 2025 survey and suggests that organizations continue to prioritize software-based security capabilities, while remaining more selective with hardware investments. The outlook for personnel-related spending is also mostly positive, with only 10%-15% of CISOs expecting decreases in staff compensation or outsourced cybersecurity services, indicating continued commitment to maintaining internal expertise and external security support.

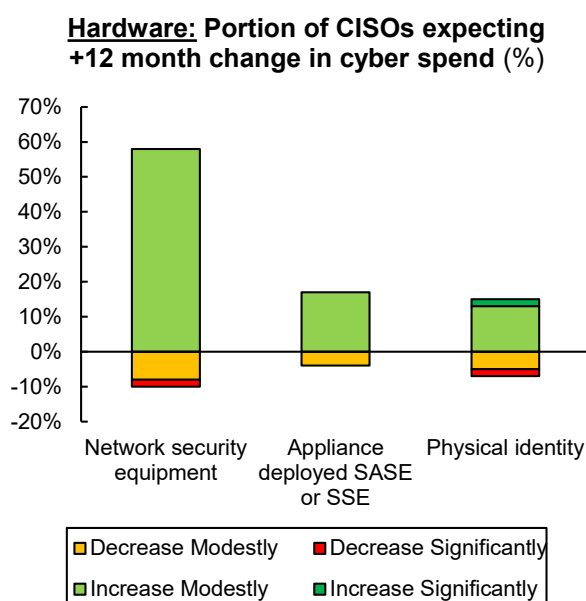
Within cybersecurity hardware, Network Security Equipment (e.g., firewalls) stands out as the segment with the strongest spending intentions, with 58% of CISOs expecting increased investment over the coming year (Exhibit 8). By contrast, spending on physical identity solutions and appliance-based SASE/SSE deployments appears more stable, with ~80% of respondents expecting budgets in these areas to remain unchanged over the next 12 months. These trends are largely unchanged from our EOY 2025 survey, suggesting that organizations continue to prioritize network security refresh cycles while maintaining existing investments in more mature hardware-based security categories.

EXHIBIT 7: For CISOs expecting to change spend levels, software was most positive, and hardware was most mixed.



Source: Bernstein CISO Survey

EXHIBIT 8: Within hardware and appliances, network security equipment stands to benefit the most from increases in cyber spend over the next 12 months.



Source: Bernstein CISO Survey

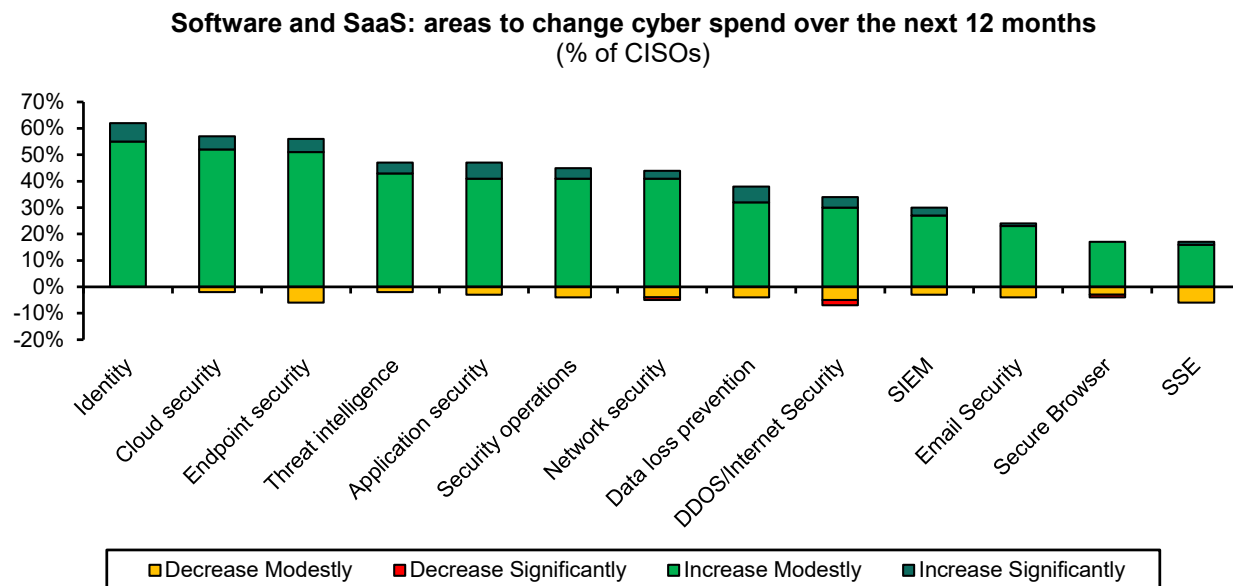
Within cybersecurity software categories, identity stands out as the top area for increased investment, with no CISOs expecting to reduce spending in this category. The strong spending outlook likely reflects the growing importance of identity and access management as organizations expand their use of AI agents. As enterprises adopt more agentic workflows, the number of non-human identities requiring authentication, authorization, and ongoing governance is expected to increase significantly, elevating identity security as a foundational control layer. As a result, CISOs who anticipate broader adoption of AI agents are also more likely to prioritize investments in identity management capabilities.

Cloud security and endpoint security represent the next strongest areas of investment. Cloud security has remained a strategic priority for several years as organizations continue migrating workloads to the cloud and address the evolving risks associated with increasingly complex hybrid and multi-cloud environments. Not to mention the complexity of containerized infrastructure makes keeping on-top of the risk topology incrementally hard. On the endpoint security side, there is a general perception that managing AI Agents will require access at the endpoint to deal with the location of engagement by end users — thus modernizing endpoint protection from legacy towards contemporary agents has become increasingly important (this is also consistent with recent earnings commentary from CrowdStrike).

At the other end of the spectrum, DDoS, SIEM, Email Security, Secure Browsers and SSE/Web Security rank among the areas receiving the least incremental investment attention. We think this reflects those areas not being considered as relevant to top pain points around GenAI and AI Agent adoption — for instance, we do not see numerous new startups crowding into those spaces pitching AI cybersecurity solutions. The vendors in those spaces, instead, appear to be more legacy providers

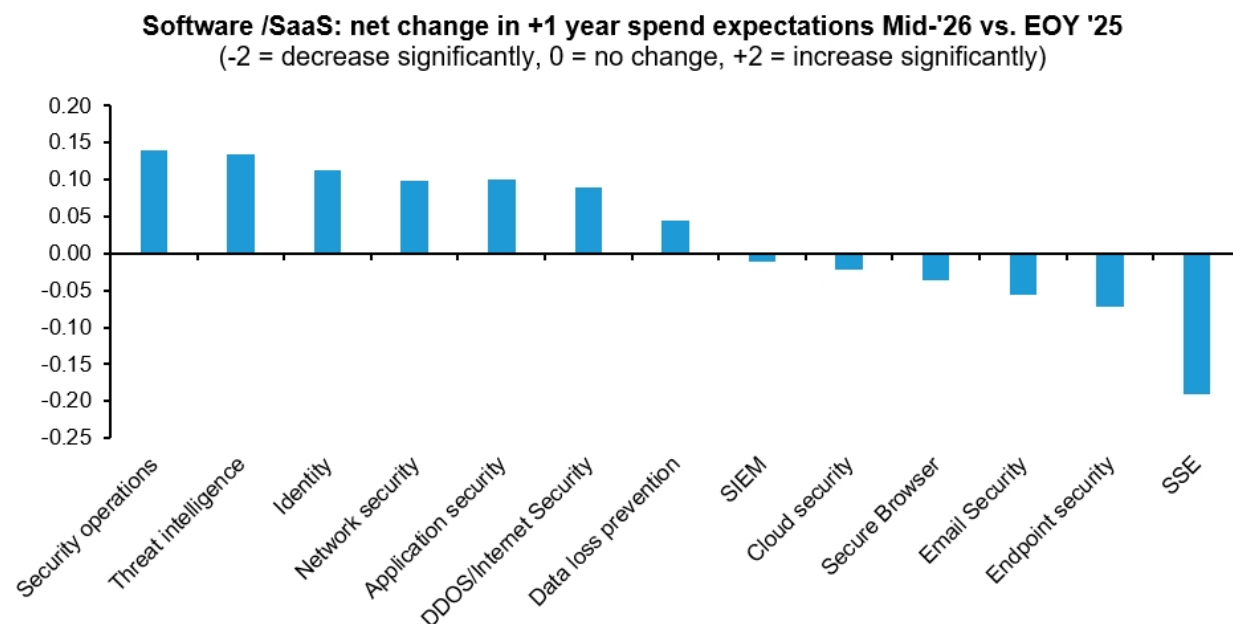
with more mature market shares (e.g., Akamai/Cloudflare in DDoS, Splunk and Elastic in SIEM, Proofpoint in Email Security, and several large vendors in SSE). We do note that vendors in Email Security, Secure Browser, and SSE are trying to change this narrative with arguments about why their offerings are relevant / important to protect in a GenAI world — we are interested to watch and see if their priority improves in future surveys.

EXHIBIT 9: Within software and SaaS, identity, cloud, and endpoint security stand to benefit the most from increases in cyber spend over the next 12 months.



Source: Bernstein CISO Survey

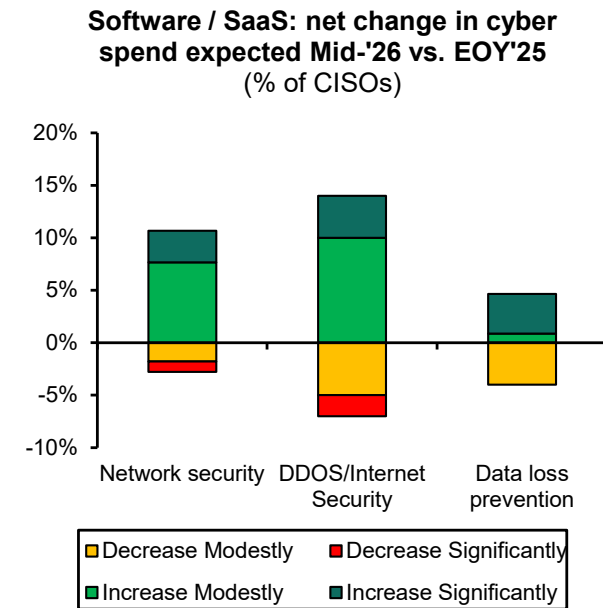
EXHIBIT 10: Already strong areas of Threat Intelligence and Identity got even more demand, while SecOps moved from a more middling demand to the upper end. At the other end SSE was already weak, and just got even weaker, while the strong area of endpoint was the one prior top area that stepped down.



Source: Bernstein CISO survey

In the middle are three categories that seem polarized on spend trends: Network Security, DDoS, and DLP. This may reflect differences in opinion on how critical / a priority each are as companies focus on adopting GenAI and AI Agents. Not to mention it could split exposure to things like OT (which has a greater requirement around Network Security) and whether a company is likely to ship their own applications in Cloud Native containers to end users vs. move towards headless offerings (the former requires DDoS while the latter has DDoS handled naturally by the platform). Finally in Data Loss Prevention ("DLP") it is possible this reflects confusion on the best way to deal with emerging AI Agent requirements, and if DLP is the right approach vs. something new and targeted towards AI.

EXHIBIT 11: Among all Software / SaaS spend categories, three stood out as having the most divergent change in +12 month expected spend, with many more positive AND negative between Mid-'26 vs. EOY '25.



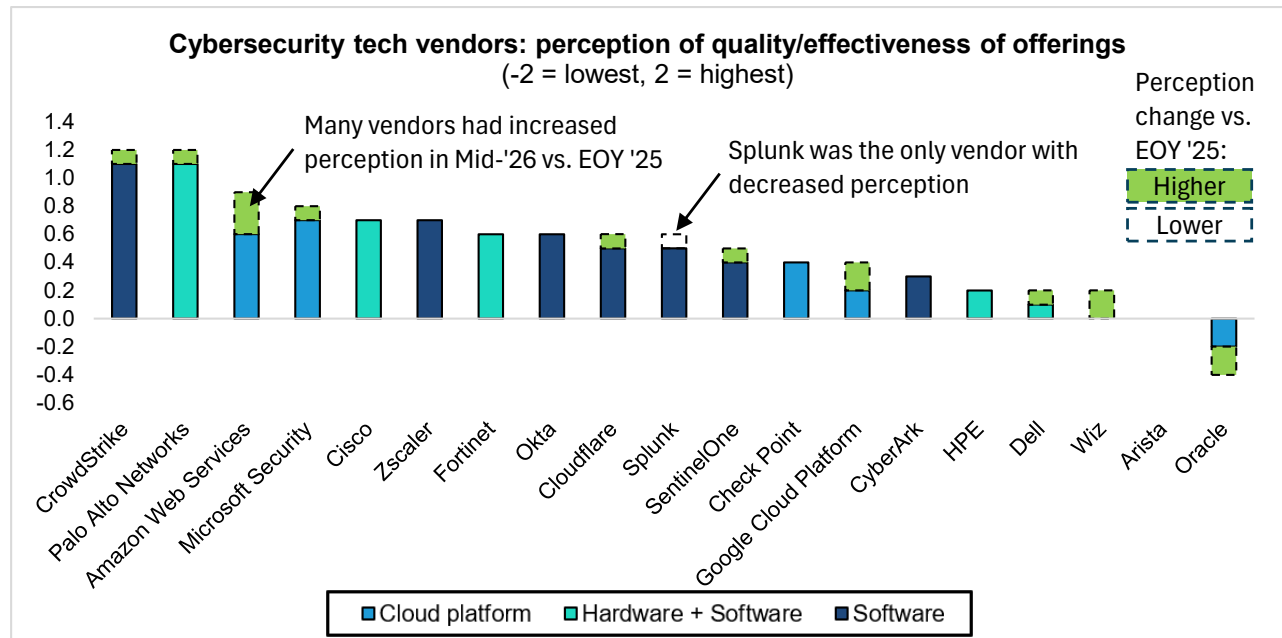
Source: Bernstein CISO Survey

ACROSS CYBERSECURITY VENDORS, CROWDSTRIKE AND PALO ALTO ARE THE PERCEIVED MARKET LEADERS BY A WIDE MARGIN

CrowdStrike and Palo Alto Networks received the highest ratings from CISOs for the quality of their cybersecurity offerings (Exhibit 12), reinforcing their positions as perceived market leaders. AWS and Microsoft also have positive perceptions for their cybersecurity portfolios, although a meaningful perception gap remains between these cloud service providers and the two leaders. By comparison, the other two hyperscalers, GCP and Oracle, scored notably lower in their cyber capabilities. Within our coverage, SentinelOne received the lowest score from CISOs. CyberArk also ranked below most other software security vendors (possibly reflecting its narrower market position, traditional on-prem/self-managed focus of CyberArk while most companies are moving to Cloud/SaaS, or potential friction / worry around the Palo Alto acquisition).

Relative to our EOY 2025 survey, CrowdStrike and Palo Alto Networks have maintained their leadership positions (even stepping up a little more). The most notable change was AWS, whose perception improved significantly, moving from a position below Splunk in the prior survey to third place in the latest rankings (in fact, Splunk ended up being the only vendor that saw a decrease in perception). Broadly all the hyperscalers saw a positive move. Meanwhile, CyberArk, Wiz, and Arista continue to trail other software vendors in perceived product quality.

EXHIBIT 12: **CrowdStrike, Palo Alto, and AWS have the highest perception of quality among vendors' cybersecurity offerings, and all showed increasing perception vs. EOY'25 survey.**



Source: Bernstein CISO survey

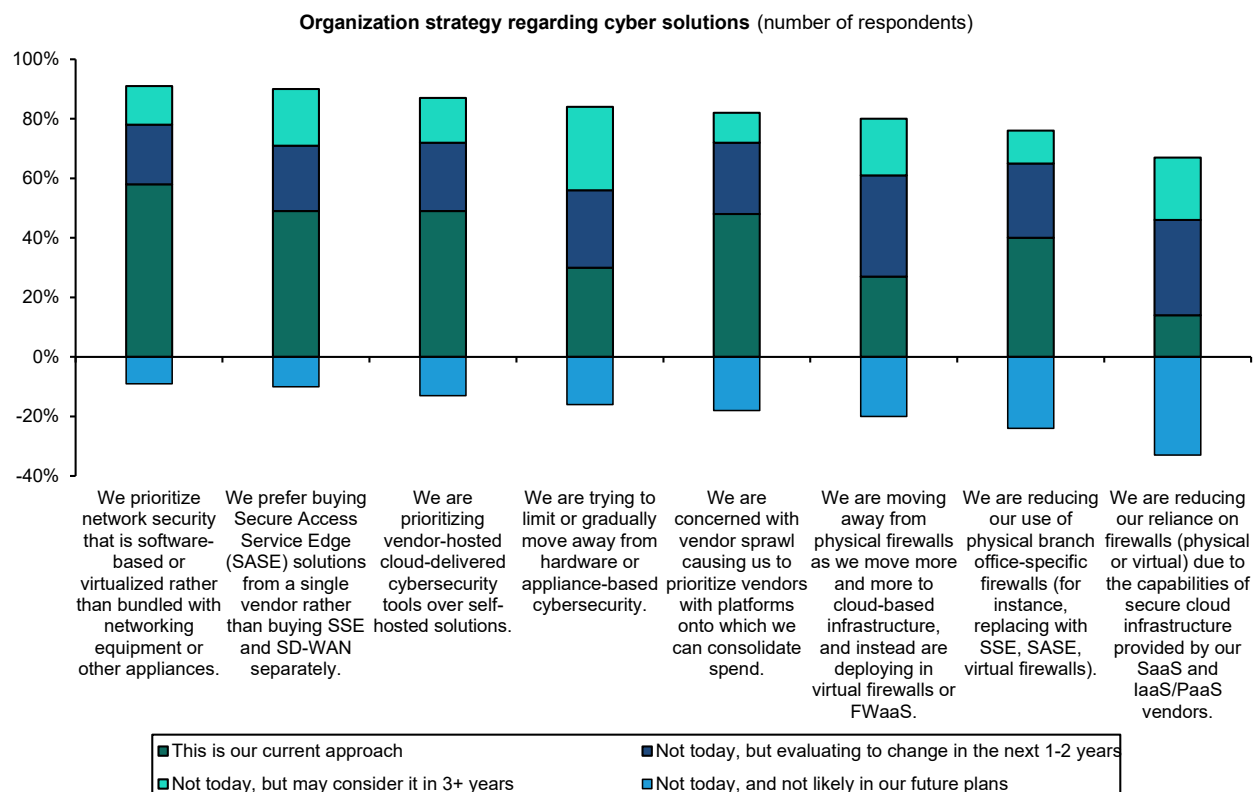
TRENDS ARE CLEAR: LESS HARDWARE AND MORE SOFTWARE + VENDOR SPRAWL IS DRIVING PLATFORMIZATION

CISOs are increasingly shifting away from hardware or appliance-based cybersecurity products toward software-based and virtualized alternatives (Exhibit 13). This trend is most evident in network security and firewalls. While 30% of CISOs are currently reducing or limiting their general use of hardware-based security solutions, 58% are prioritizing software-based network security offerings, highlighting the continued migration toward more flexible and cloud-oriented architectures.

Although most CISOs are not planning to meaningfully reduce their reliance on firewalls in the near term, nearly 60% are either already replacing physical firewalls with cloud-based alternatives or expect to do so within the next 1-2 years. Branch office firewalls appear to be the primary starting point for this transition, with 40% of CISOs already reducing their use of physical branch-office-specific firewalls in favor of alternatives such as SSE, SASE, or virtual firewalls. This trend represents a long-term headwind for Check Point, Cisco, and the hardware segment of Fortinet, given the widespread deployment of their physical firewall products in branch-office environments.

Platform consolidation remains another megatrend in the sector. About half of CISOs cite concerns about vendor sprawl and are already prioritizing platforms that allow them to consolidate security spending with fewer vendors, with another 24% planning for this in the next 1-2 years. Consistent with this preference, ~50% of CISOs indicated they currently prefer purchasing an integrated SASE platform than procuring SSE and SD-WAN solutions separately. Overall, most CISOs continue to prefer vendor-hosted, cloud-delivered cybersecurity solutions over self-hosted deployments. We note, that while small, the preference for self-hosted solutions has increased, rising from ~7% in our EOY 2025 survey to 13% in the current survey. We are not sure if this is just a one-time change given our last survey was smaller, or a fundamental move as some organizations move back towards on-prem due to operations requirements of some AI use cases (a hypothesis our hardware colleagues have been exploring and talking about [here](#))

EXHIBIT 13: Vendor consolidation (SASE over SSE+SD-WAN) and software defined network security are the most dominant current trends, while there is less emphasis on moving away from firewalls.



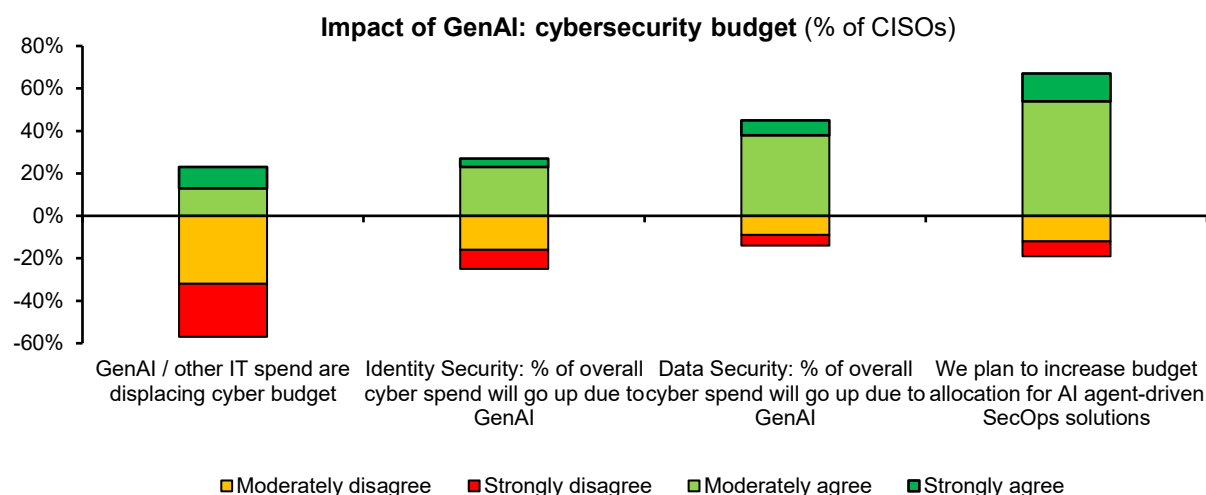
Source: Bernstein CISO survey

GENAI IS PERCEIVED AS A TAILWIND TO CYBERSECURITY SPEND...BUT ADOPTION STILL LIMITED BY MODEL ACCURACY

GENAI'S IMPACT ON CYBERSECURITY BUDGET

GenAI and LLM adoption is largely being funded alongside, rather than at the expense of, existing cybersecurity spending. More than half of CISOs do not expect GenAI-related investments to displace their cyber budgets, reflecting the view that AI introduces new requirements rather than replacing existing security priorities. **Within cybersecurity, agentic SecOps stands out as the primary beneficiary of AI-driven spending.** More than 60% of CISOs plan to increase budget allocation to AI agent-driven security operations, making it the top investment area tied to GenAI adoption. Data and information security ranks second, with over 40% expecting higher budget allocation. In contrast, expectations for identity security are more mixed: 27% of CISOs expect identity spending to grow faster than overall cyber spending, while 25% expect it to decline as a share of total cybersecurity budgets.

EXHIBIT 14: Companies are planning to invest in GenAI/LLM cyber solutions with money added to existing cyber budget.



Source: Bernstein CISO Survey

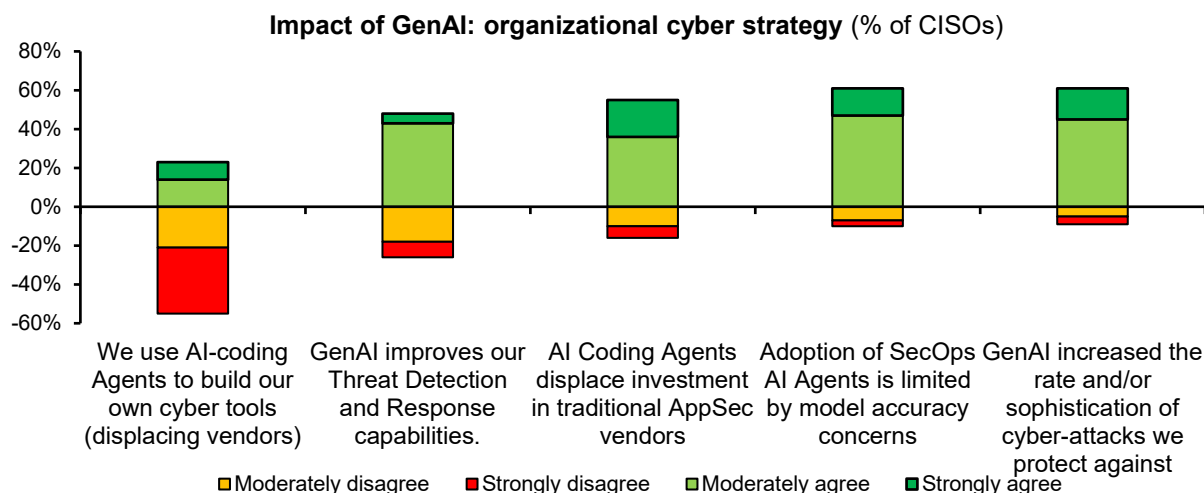
CURRENT ADOPTION OF GENAI IN CYBERSECURITY

More than 60% of CISOs believe GenAI and LLMs have increased both the pace and sophistication of cyberattacks, creating additional security challenges for their organizations. This trend is also a key factor behind cybersecurity spending continuing to outgrow broader IT budget growth ([Exhibit 15](#)). At the same time, AI coding tools are reshaping parts of the cybersecurity market. While most CISOs do not view these tools as a replacement for vendor-hosted cybersecurity solutions, 23% see them as an opportunity to reduce reliance on external vendors and bring certain capabilities in-house. Over half of CISOs are already seeing investment shift from traditional developer-centric vendors toward software security offerings provided by code suggestion platforms, increasing competitive pressure on vendors such as GitHub, GitLab, and Snyk to continue investing in AI capabilities.

While the majority of CISOs still see limitations in their adoption of cybersecurity-specific GenAI/LLM due to concerns about model accuracy, ~50% of CISOs report improvements in threat detection and response capabilities from their use of GenAI and LLMs. As model performance improves and agentic SecOps solutions become more widely adopted, we expect these benefits and adoption rates to increase further over time.

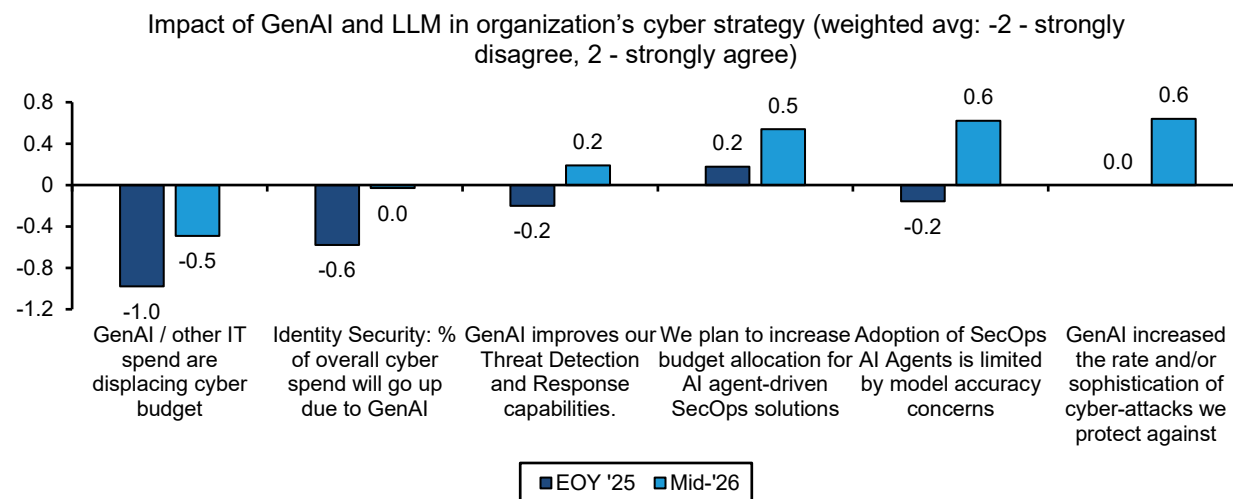
Overall the plans to invest in GenAI/LLM have stepped up substantially between our EOY '25 survey and Mid '26 ([Exhibit 16](#))

EXHIBIT 15: GenAI has improved Threat Detection and Response capabilities for some CISOs, but AI coding agents are not yet enough to displace cybersecurity vendors (except maybe for traditional AppSec vendors)



Source: Bernstein CISO Survey

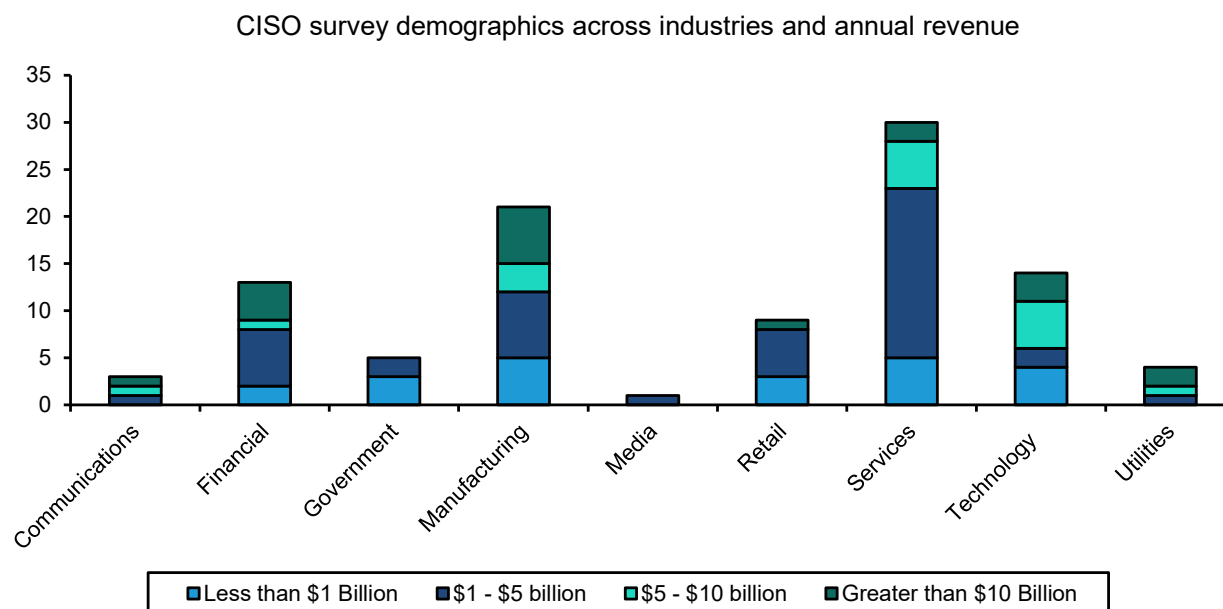
EXHIBIT 16: Companies are planning to invest in GenAI/LLM cyber solutions with money added to existing cyber budget.



Source: Bernstein CISO Survey

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 17: **Our CISO survey includes 100 US participants from different industries and annual revenue brackets.**



Source: Bernstein CISO Survey

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